

FinAgent National Bank -- Underwriting and Debt-to-Income (DTI) Guidelines

1. Maximum Debt-to-Income (DTI) Ratios

Conventional mortgage: 43% maximum back-end DTI (36% preferred).

Government-backed mortgage program: up to 50% with documented compensating factors.

Auto loan: 45% maximum DTI.

Personal loan: 40% maximum DTI.

Business loan: evaluated primarily on business cash flow, not personal DTI.

2. Minimum Down Payment Requirements

Mortgage: 5% minimum (conventional), 3.5% under first-time buyer program.

Down payment of 20% or more waives private mortgage insurance (PMI).

Auto loan: 10% down payment recommended; 0% permitted for credit score 720 or above.

3. Minimum Credit Score by Loan Type

Mortgage: 620 minimum.

Auto loan: 580 minimum.

Personal loan: 640 minimum.

Business loan: 650 minimum personal guarantor score.

4. Required Supporting Documentation

Pay stubs and bank statements covering the verification period.

Five-year employment history, or a written explanation for any gap.

Homeowners insurance quote (mortgage applications only).

Independent property appraisal (mortgage applications only).

5. Risk Classification Bands

LOW RISK: DTI under 30%, credit score 720+, stable employment history.

MODERATE RISK: DTI 30-40%, credit score 660-719.

HIGH RISK: DTI 40% up to the program maximum, credit score 620-659.

DECLINE: DTI above the program maximum, or credit score below program minimum.

6. Manual Underwriting Exceptions

Applications outside standard guidelines may be approved by a manual underwriter with documented compensating factors and supervisor sign-off.